

**SUBSTITUTE FOR
SENATE BILL NO. 517**

A bill to amend 1976 PA 451, entitled
"The revised school code,"
by amending section 1351a (MCL 380.1351a), as amended by 2016 PA
192.

THE PEOPLE OF THE STATE OF MICHIGAN ENACT:

1 Sec. 1351a. (1) Beginning with bonds issued after May 1, 1994,
2 a school district, including, but not limited to, a school district
3 that is a community district or a qualifying school district, shall
4 not borrow money and issue bonds of the district under section
5 1351(1). However, a school district, including, but not limited to,
6 a school district that is a community district, may borrow money
7 and issue bonds of the district to defray all or a part of the cost
8 of purchasing, erecting, completing, remodeling, or equipping or



reequipping ~~, except for equipping or reequipping for technology,~~
 school buildings, including library buildings, structures, athletic
 fields, playgrounds, or other facilities, or parts of or additions
 to those facilities; furnishing or refurnishing new or remodeled
 school buildings; acquiring, preparing, developing, or improving
 sites, or parts of or additions to sites, for school buildings,
 including library buildings, structures, athletic fields,
 playgrounds, or other facilities; purchasing school buses;
~~acquiring, installing, or equipping or reequipping school buildings~~
~~for purchasing~~ technology; or accomplishing a combination of the
 purposes set forth in this subsection. Section 1351(2) to (4)
 applies to bonds issued under this section.

(2) The proceeds of bonds issued under this section or under
 section 11i of the state school aid act of 1979, MCL 388.1611i,
~~shall must~~ be used for capital expenditures and to pay costs of
 bond issuance, and ~~shall must~~ not be used for maintenance costs.
 Except as otherwise provided in this subsection, a school district
 that issues bonds under this section or under section 11i of the
 state school aid act of 1979, MCL 388.1611i, shall have an
 independent audit, using generally accepted accounting principles,
 of its bonding activities under these sections conducted within 120
 days after completion of all projects financed by the proceeds of
 the bonds and shall submit the audit report to the department of
 treasury. For bonds issued under section 11i of the state school
 aid act of 1979, MCL 388.1611i, the independent audit required
 under this subsection may be conducted and submitted with the
 annual report required under the revised municipal finance act,
 2001 PA 34, MCL 141.2101 to 141.2821.

(3) A school district, including, but not limited to, a school



district that is a community district, shall not borrow money and issue notes or bonds under this section to defray all or part of the costs of any of the following:

~~(a) Upgrades to operating system or application software.~~

~~(b) Media, including diskettes, compact discs, video tapes, and disks, unless used for the storage of initial operating system software or customized application software included in the definition of technology under this section.~~

~~(c) Training, consulting, maintenance, service contracts, software upgrades, troubleshooting, or software support.~~

(a) Consumables, including storage media, ink, toner, or batteries.

(b) Repair of end-user devices that are outside of the initially purchased warranty.

(c) Curriculum-specific software or training in the use of curriculum-specific software.

(4) A resident of a school district, including, but not limited to, a school district that is a community district, has standing to bring suit against the school district to enforce the provisions of this section in a court having jurisdiction.

(5) Bonds under this section to fund technology may be issued only to the extent allowed under federal laws governing tax-exempt debt issuance.

(6) ~~(5)~~ As used in this section, "technology" means any of the following:

~~(a) Hardware and communication devices that transmit, receive, or compute information for pupil instructional purposes.~~

~~(b) The initial purchase of operating system software or customized application software, or both, accompanying the purchase~~



1 ~~of hardware and communication devices under subdivision (a).~~
2 ~~(c) The costs of design and installation of the hardware,~~
3 ~~communication devices, and initial operating system software or~~
4 ~~customized application software authorized under this subsection.~~

5 **(a) Hardware, software, cloud-hosted software as a service,**
6 **technological infrastructure, software licenses, software support**
7 **and warranties, and relevant consulting in the initial**
8 **implementation and deployment of hardware and software.**

9 **(b) The initial implementation and deployment of technology**
10 **equipment, building systems, cybersecurity, physical security, and**
11 **voice communication software.**

12 **(c) Relevant consulting related to the initial implementation**
13 **and deployment of cybersecurity.**

14 **(d) The design or installation of any hardware, software,**
15 **communication device, operating system software, or customized**
16 **application software authorized under this section.**